

Alpha Financial Markets Consulting UK Limited

Annual report and financial statements

Registered number 04710715

31 March 2020



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Company Information

Directors

ENB Fraser
S McNulty
A Heasman (Appointed 1 April 2019)
B Scaysbrook (Appointed 1 April 2019)
JP Benson
NS Curham
J Docker
G Faragher-Thomas
N Fienberg
B Lantorp
J Reed
MD Smith
D Spencer
N Spencer
AJ Glessing
KR Taylor
GD Glass
B West
K O'Shaughnessy
OJ Vinden
JC Paton

Company number

04710715

Registered office

60 Gresham Street
London
EC2V 7BB

Auditor

KPMG LLP
St Nicholas House
31 Park Row
Nottingham
NG1 6FQ

Bankers

Lloyds Bank Plc
10 Gresham Street
London
EC2V 7AE

HSBC Bank UK
71 Queen Victoria Street
London
EC4V 4AY

Strategic report

Business review

For the year ended 31 March 2020 (FY 20¹), the Company recorded a turnover of £47,031,000 (FY 19: £50,458,000). Profit after tax decreased 18.6% to £9,695,000 (FY 19: £11,915,000), despite improved gross profit margin as a result of reduced contracting spend. This was driven by increased Group² and general overhead expenditure reflecting the Company's increased headcount in the year. Continued investment was made in the UK team, with the number of employed consultants increasing by 20% to 172 at 31 March 2020. Trade receivables reduced to £7,321,000 from £9,702,000, a decrease of 24.5%, due to consistent months of strong cash collection. There are no concerns about the recoverability of the main unprovided debtors.

Future developments

The business plan developed by the Directors in light of the ongoing outbreak of COVID-19 in the UK expects an anticipated drop in revenue generation in the early months of FY 21. However, the Directors anticipate a strong recovery in late FY 21, and a return to normal trading conditions in FY 22. The Company has retained a relatively strong pipeline of core work through the first half of FY 21 despite measures put in place relating to the pandemic.

Key performance indicators

The Directors monitor performance on both a weekly and a monthly basis using a range of financial and non-financial metrics. Working capital management is the primary indicator which is reviewed on a weekly basis to monitor cashflow, liquidity and the recovery of trade receivables.

Each month the Directors review the management accounts for each Group undertaking and compare actual performance against budget. Costs and utilisation are also reviewed to monitor profitability.

Principal risks and uncertainties

The performance of the Company in the short-term is subject to uncertainty arising from the macro-economic impact of the COVID-19 outbreak, however the future pipeline of work for the Company is considered relatively strong despite the uncertainty. The Company continues to generate substantial cash after retaining a proportion of profits to fund increased working capital requirements resulting from growth. Management continue to operate conservative cash management policies, which have been supplemented by strategic decisions made to safeguard liquidity during the pandemic, as described below. The Directors are satisfied with performance for the year.

Risk Management and the impact of COVID-19

The Directors note that the World Health Organisation declared a pandemic relating to COVID-19 on 11 March 2020, and social distancing measures were introduced in the UK during March 2020. The Directors have therefore considered the impact of the pandemic on the Company's operations, with a focus primarily on the Company's going concern assessment, forward looking forecasts and recoverability of assets, including trade receivables and intercompany funding to other Group entities.

The Directors have taken mitigating actions designed to manage the risk and reflect the uncertainty associated with the pandemic and protect the balance sheet and maintain a strong liquidity position. Actions taken include the delay of profit share payments to employees, and delays to all but essential recruitment processes in the short-term.

The Directors and the executive team continue to monitor the geopolitical developments surrounding the UK's decision to leave the European Union ("Brexit") closely. The Company has assessed that it does not expect Brexit to have a material direct impact on its ongoing growth and development of the business, given arrangements between the UK and EU countries, and its network of offices across Europe. The most likely impact of Brexit on the business is a potential short-term delay to client decision making, which is not expected to have any adverse effects over the medium term. The impact of Brexit has been overshadowed in recent months by the emergence of a major severe macro-economic crisis associated with COVID-19 as above. The Company is conscious that this position may change, and unexpected new challenges could arise that affect this risk assessment, including the broader impact that Brexit has on the UK economy as a whole.

¹ FY 20 is the financial year covering the 12 months to 31 March 2020. By comparison, FY 19 is the previous financial year covering the 12 months to 31 March 2019; FY 21 is the subsequent financial year covering the 12 months to 31 March 2021; and FY 22 is the financial year covering the 12 months to 31 March 2022.

² Group refers to the Company's ultimate parent, Alpha Financial Markets Consulting plc and its subsidiaries.

Strategic report (continued)

Section 172 statement

Under Section 172(1) of the Companies Act 2006, a director of a company must act in the way he or she considers, in good faith, would be most likely to promote the success of the company for the benefit of its members as a whole, and in doing so have regard (amongst other matters) to:

- The likely consequence of any decision in the long term;
- The interests of the company's employees;
- The need to foster the company's business relationships with suppliers, customers and others;
- The impact of the company's operations on the community and the environment;
- The desirability of the company maintaining a reputation for high standards of business conduct; and
- The need to act fairly as between members of the company.

The following disclosure describes how the Directors have had regard to the matters set out in Section 172(1)(a) to (f) and forms the Directors' statement under section 414CZA of The Companies Act 2006.

The Directors remain committed to engaging with all of the Company's stakeholders and considering their interests when making any strategic decisions.

Engagement with key stakeholders

The Board considers its key stakeholders to be its employees, its shareholders, its clients and the communities in which the Company operates. The Board also recognises other stakeholder groups including suppliers, industry bodies and competitors with whom Alpha works or associates in the marketplace. The Board understands that engaging with these stakeholders strengthens the Company's business relationships and facilitates its decision making at an executive level, which is very important for Alpha's long-term success.

Employees

Attracting, retaining and developing the very best people in the industry is integral to the Company's culture and ongoing success. The Company is committed to providing a highly rewarding place to work, and to maintaining a unique and inclusive culture that places people at the heart of the business. To achieve this, there is a strong emphasis on interaction, open communication and the exchange of proactive insights from the employee base. Employee feedback has always been a significant component of that picture.

Shareholders

The Company places a strong emphasis on maintaining effective engagement with its shareholders, which it considers to be integral to longer-term growth and success. The Board is committed to providing good, consistent and open engagement with shareholders.

Clients

Alpha's successful business model is built upon keeping clients' needs at the core of its proposition, which includes the Company's geographic network, the services it offers and the types of project that it delivers. Central to Alpha's growth strategy is continuous investment in people, locations and knowledge to help all clients address their challenges and best capitalise on opportunities. The Company holds a very strong emphasis on developing and sustaining long-term client relationships.

Communities

Alpha is committed to building positive relationships with the communities and environment in which it operates. This includes supporting communities and organisations local and relevant to the Company's operations; and considering how to maximise the benefits and minimise the downsides of its environmental and social impacts.

Please refer to pp 35-36 of the Annual Report & Accounts 2020 of the ultimate parent company (Alpha Financial Markets Consulting Plc) for further detail on the above key stakeholders of the Company, and the Company's approach to engagement with each class of stakeholder.

Strategic report (continued)

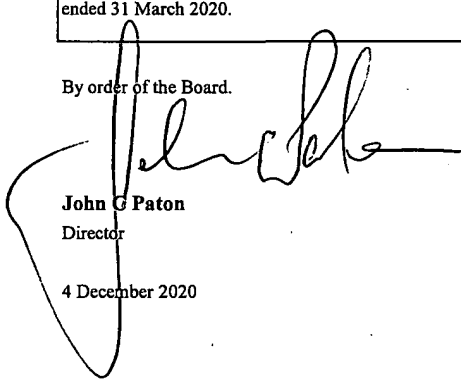
Key Board decisions during the year

The Directors consider the following to be key decisions and considerations they have made in the year to 31 March 2020. These decisions have been discussed and ratified by the Board of the Company's ultimate parent, Alpha Financial Markets Consulting Plc.

For further information please refer to p.37 of the Annual Report & Accounts 2020 of the Company's ultimate parent (Alpha Financial Markets Consulting Plc).

Decision	Considerations
Issued the FY 19 Annual Report & Financial statements to shareholders.	To provide transparent and accurate information to the market.
The Board reviewed the results of an employee engagement plan and approved a number of initiatives to be carried out by the Global Management Board and the HR team.	To understand the feedback provided by employees, to take appropriate actions and to ensure the ongoing engagement of Alpha's employees in respect of implementing positive changes. When reviewing the actions to be implemented, the Board considered the financial consequences and the impact on long-term value and growth for the shareholders.
The Board agreed the FY 20 interim dividend payable to the Company's parent, Alpha Financial Markets Consulting Group Limited.	To provide transparent and accurate information to the market
The Board considered the Company's strategic priorities at its dedicated strategy session.	To ensure the strategy is still appropriate and to review progress against strategic goals.
The Board considered the impacts of COVID-19 and agreed a number of mitigating measures including short-term changes to remuneration.	To address the long-term interests of all stakeholders and protect the Company's balance sheet.
The Board considered the payment of a final dividend for FY 20 and agreed that it would not be recommending a final dividend for the year ended 31 March 2020.	To address the best interests of all stakeholders. To preserve the strength of the Company's balance sheet and provide maximum flexibility throughout the COVID-19 uncertainty so that Alpha is as well positioned as it can be for the future.

By order of the Board.


John G Paton
Director

4 December 2020

Directors' report

The Directors present their report and the audited financial statements for the year ended 31 March 2020.

Principal activities

The principal activity of the Company continued to be the provision of consulting and related services to clients in the asset and wealth management industries.

Results and dividend

The results for the year are set out in the attached profit and loss account.

During the year, an ordinary dividend payment totalling £10,000,000 was made to the Company's sole shareholder Alpha Financial Markets Consulting Group Limited (FY 19: £18,265,000), to facilitate the payment of the Group dividend made by the Company's ultimate parent, Alpha Financial Markets Consulting Plc, to its shareholders. The Directors have not recommended the payment of a final dividend (FY 19: £nil).

For further information on the likely future developments of the business, please refer to the Strategic report.

After deducting taxation, £9,695,000 profit was transferred to reserves (FY 19: £11,915,000).

Directors

The Directors who held office during the year were as follows:

ENB Fraser

S McNulty

A Heasman (Appointed 1 April 2019)

B Scaysbrook (Appointed 1 April 2019)

JP Benson

NS Curham

J Docker

G Faragher-Thomas

N Fienberg

B Lantorp

J Reed

MD Smith

D Spencer

N Spencer

AJ Glessing

KR Taylor

GD Glass

B West

K O'Shaughnessy

OJ Vinden

JC Paton

Political contributions

The Company made no political donations or incurred any political expenditure during the year.

Employee involvement

The health and welfare of the Company's employees remains a key priority for the Directors, as reflected by the Company's position on the 'Sunday Times 100 Best small companies to work for' 2017-2020. The Company has the intent to attract, recruit, develop and retain key employees, and the Company maintains policies and procedures on the Group intranet, with access to this documentation provided to employees via the Company's Human Resources department. Appropriate education and training and development opportunities are provided to all employees to encourage continuous development, and employees are kept abreast of key financial and economic updates on the Company's performance and other matters on a regular basis, and in monthly meetings hosted by senior management, where employees have an opportunity to raise questions or provide feedback.

It is the Company's policy to give full and fair consideration to all applications for employment including from disabled people, having regard to their abilities and aptitudes. Full consideration is given to continuing the employment of staff who become disabled, including considering them for other reasonable positions and arranging appropriate training where required. The Company aims to provide an inclusive environment for all employees, regardless of sex, marital status, race, nationality, age, sexual orientation or religion.

Directors' report (continued)

Employee involvement (continued)

The Company provides an opportunity for increased employee engagement with the Company's performance through the employee share incentive scheme for new joiners and the Company's profit share scheme.

Engagement with suppliers and customers

The Directors note the importance of fostering strong relationships with the Company's customers and suppliers through open communication and having regard for these relationships in strategic decisions made relating to the Company.

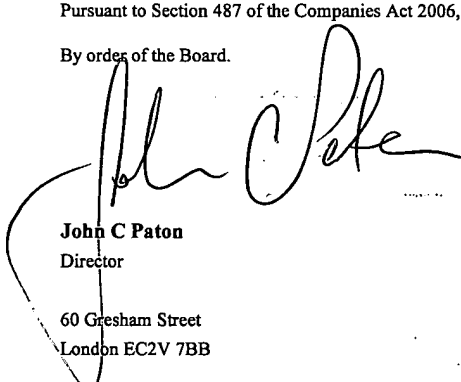
Disclosure of information to auditor

The Directors who held office at the date of approval of this Directors' report confirm that, so far as they are each aware, there is no relevant audit information of which the Company's auditor is unaware; and each Director has taken all the steps that they ought to have taken as a Director to make themselves aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

Auditor

Pursuant to Section 487 of the Companies Act 2006, the auditor will be deemed to be reappointed and KPMG LLP will therefore continue in office.

By order of the Board.



John C Paton
Director

60 Gresham Street
London EC2V 7BB

4 December 2020

Statement of Directors' responsibilities in respect of the Strategic Report and the Directors' report and the financial statements

The Directors are responsible for preparing the Strategic Report, the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the Directors to prepare financial statements for each financial year. Under that law they have elected to prepare the financial statements in accordance with UK accounting standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 101 Reduced Disclosure Framework.

Under company law the Directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- assess the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations or have no realistic alternative but to do so.

The Directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the company and to prevent and detect fraud and other irregularities.

Independent auditor's report to the members of Alpha Financial Markets Consulting UK Limited

Opinion

We have audited the financial statements of Alpha Financial Markets Consulting UK Limited ("the company") for the year ended 31 March 2020 which comprise the balance sheet, profit and loss account and statement of changes in equity and related notes, including the accounting policies in note 1.

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 31 March 2020 and of its profit for the year then ended;
- have been properly prepared in accordance with UK accounting standards, including FRS 101 Reduced Disclosure Framework; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities are described below. We have fulfilled our ethical responsibilities under, and are independent of the company in accordance with, UK ethical requirements including the FRC Ethical Standard. We believe that the audit evidence we have obtained is a sufficient and appropriate basis for our opinion.

Going concern

The Directors have prepared the financial statements on the going concern basis as they do not intend to liquidate the company or to cease its operations, and as they have concluded that the company's financial position means that this is realistic. They have also concluded that there are no material uncertainties that could have cast significant doubt over its ability to continue as a going concern for at least a year from the date of approval of the financial statements ("the going concern period").

We are required to report to you if we have concluded that the use of the going concern basis of accounting is inappropriate or there is an undisclosed material uncertainty that may cast significant doubt over the use of that basis for a period of at least a year from the date of approval of the financial statements. In our evaluation of the Directors' conclusions, we considered the inherent risks to the company's business model and analysed how those risks might affect the company's financial resources or ability to continue operations over the going concern period. We have nothing to report in these respects.

However, as we cannot predict all future events or conditions and as subsequent events may result in outcomes that are inconsistent with judgements that were reasonable at the time they were made, the absence of reference to a material uncertainty in this auditor's report is not a guarantee that the company will continue in operation.

Strategic report and Directors' report

The Directors are responsible for the Strategic report and the Directors' report. Our opinion on the financial statements does not cover those reports and we do not express an audit opinion thereon.

Our responsibility is to read the Strategic report and the Directors' report and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge. Based solely on that work:

- we have not identified material misstatements in the Strategic report and the Directors' report;
- in our opinion the information given in those reports for the financial year is consistent with the financial statements; and
- in our opinion those reports have been prepared in accordance with the Companies Act 2006.

Matters on which we are required to report by exception

Under the Companies Act 2006 we are required to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of Directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

We have nothing to report in these respects.

Directors' responsibilities

As explained more fully in their statement set out on page 7, the Directors are responsible for: the preparation of the financial statements and for being satisfied that they give a true and fair view; such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and using the going concern basis of accounting unless they either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Independent auditor's report to the members of Alpha Financial Markets Consulting UK Limited (continued)

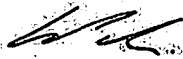
Auditor's responsibilities

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue our opinion in an auditor's report. Reasonable assurance is a high level of assurance, but does not guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

A fuller description of our responsibilities is provided on the FRC's website at www.frc.org.uk/auditorsresponsibilities.

The purpose of our audit work and to whom we owe our responsibilities

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members, as a body, for our audit work, for this report, or for the opinions we have formed.



Craig Parkin (Senior Statutory Auditor)
for and on behalf of KPMG LLP, Statutory Auditor
Chartered Accountants
St Nicholas House
31 Park Row
Nottingham
NG1 6FQ

4 December 2020

Profit & loss account
for the year ended 31 March 2020

	Note	FY 20 £000	FY 19 £000
Turnover	2	47,031	50,458
Rechargeable expenses		(841)	(796)
Net fee income		46,190	49,662
Cost of sales		(26,034)	(29,170)
Gross profit		20,156	20,492
Administrative expenses	4, 5	(8,414)	(6,379)
Operating profit		11,742	14,113
Other interest payable and similar expense	6	(54)	(25)
Profit before taxation		11,688	14,088
Taxation	7	(1,993)	(2,173)
Profit for the financial year		9,695	11,915

In both the current and preceding year, the Company made no material acquisitions and had no discontinued operations.

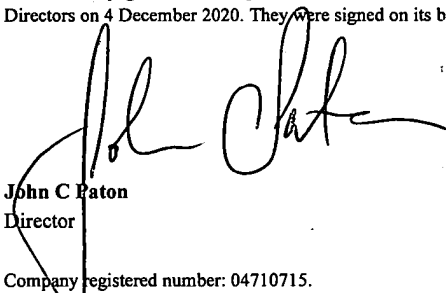
There were no recognised gains or losses in either the current or preceding year other than those disclosed in the profit and loss account, and therefore no separate statement of other comprehensive income has been presented.

Balance sheet

As at 31 March 2020

	Note	As at 31 March 2020 £000	As at 31 March 2019 £000
Non-current assets			
Tangible fixed assets	8	266	222
Right-of-use assets	9	972	-
Amounts owed by Group undertakings		2,985	-
		<u>4,223</u>	<u>222</u>
Current assets			
Debtors	10	38,030	34,909
Cash at bank and in hand		7,615	10,472
		<u>45,645</u>	<u>45,381</u>
Current liabilities			
Creditors: amounts falling due within one year	11	(28,095)	(25,874)
Lease liabilities	9	(221)	-
Corporation tax		(2,594)	(1,474)
		<u>(30,910)</u>	<u>(27,348)</u>
Net current assets		<u>14,735</u>	<u>18,033</u>
Total assets less current liabilities		<u>18,958</u>	<u>18,255</u>
Non-current liabilities			
Lease liabilities	9	(772)	-
Non-current liabilities	12	(93)	-
Deferred tax liability	13	(50)	(17)
		<u>18,043</u>	<u>18,238</u>
Net assets		<u>18,043</u>	<u>18,238</u>
Capital and reserves			
Called up share capital	14	275	275
Other reserves		181	181
Profit and loss account		17,587	17,782
Shareholders' funds		<u>18,043</u>	<u>18,238</u>

The notes on pages 13-26 form part of these financial statements. These financial statements were approved and authorised for issue by the Board of Directors on 4 December 2020. They were signed on its behalf by:


John C Paton
Director

Company registered number: 04710715.

Statement of changes in equity

	Called up share capital £000	Other reserves £000	Profit and loss account £000	Total equity £000
As at 1 April 2018	275	-	24,132	24,407
Total comprehensive income for the period				
Profit for the period	-	-	11,915	11,915
Transactions with owners				
Dividends	-	-	(18,265)	(18,265)
Share-based payment charge	-	181	-	181
As at 31 March 2019	275	181	17,782	18,238
Effect of changes in accounting standards ³	-	-	110	110
As at 1 April 2019	275	181	17,892	18,348
Total comprehensive income for the period				
Profit for the period	-	-	9,695	9,695
Transactions with owners				
Dividends	-	-	(10,000)	(10,000)
Balance at 31 March 2020	275	181	17,587	18,043

³Opening adjustment as at 1 April 2019 relates to the Company's adoption of IFRS 16 in the period.

Notes

(forming part of the financial statements)

1 Accounting policies

Alpha Financial Markets Consulting Limited (the "Company") is a company limited by shares, domiciled and registered in the UK. The registered number is 04710715 and the registered address is 60 Gresham Street, London, EC2V 7BB.

These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework ("FRS 101").

In preparing these financial statements, the Company applies the recognition, measurement and disclosure requirements of International Financial Reporting Standards as adopted by the EU ("Adopted IFRSs"), but makes amendments where necessary in order to comply with Companies Act 2006 and has set out below where advantage of the FRS 101 disclosure exemptions has been taken. Further, in accordance with Section 414A(2) of the Companies Act 2006, the Company has taken the small company exemption from the requirement to prepare a strategic report.

The Company's parent undertaking, Alpha Financial Markets Consulting Plc, includes the Company in its consolidated financial statements. The consolidated financial statements of Alpha Financial Markets Consulting Plc are available to the public and may be obtained from 60 Gresham Street, London, EC2V 7BB.

In these financial statements, the Company has applied the exemptions available under FRS 101 in respect of the following disclosures:

- A cash flow statement and related notes;
- Comparative period reconciliations for share capital, tangible fixed assets, intangible assets and investment properties;
- Disclosures in respect of transactions with wholly owned subsidiaries;
- Disclosures in respect of capital management;
- The effects of new but not yet effective IFRSs;
- Disclosures in respect of the compensation of Key Management Personnel; and
- Disclosures of transactions with a management entity that provides key management personnel services to the Company.

As the consolidated financial statements of Alpha Financial Markets Consulting Plc include the equivalent disclosures, the Company has also taken the exemptions under FRS 101 available in respect of the following disclosures:

- IFRS 2 Share Based Payments in respect of Group settled share based payments; and
- Certain disclosures required by IFRS 16 Leases in relation to disclosure of the Company's leasing activities.
- Certain disclosures required by IFRS 3 Business Combinations in respect of business combinations undertaken by the Company.

The accounting policies set out below have, unless otherwise stated, been applied consistently to all periods presented in these financial statements.

There are no judgements made by the Directors, in the application of these accounting policies that have significant effect on the financial statements and estimates with a significant risk of material adjustment in the next year.

1.1 Measurement convention

The financial statements are prepared on the historical cost basis.

1.2 Significant judgements and estimates

The preparation of financial information in accordance with IFRS requires management to make judgements, estimates and assumptions that affect the application of accounting policies and reported amounts of assets and liabilities, income and expenses.

The Directors have made no judgements, excluding those involving estimations, in the process of applying the Company's accounting policies that are considered to have a significant effect on the amounts recognised in the financial statements for the period ending 31 March 2020.

The Directors have identified the following areas as key estimates that are considered to have a significant risk of resulting in a material adjustment to the carrying amounts of assets or liabilities within the next financial year.

Share-based payments

Management have estimated the share-based payments expense under IFRS 2. In determining the fair value of share-based payments, management have considered several internal and external factors in judging the probability that management and employee share incentives may vest and in assessing the fair value of share options at the date of grant. Such assumptions involve estimating a number of future performance and other factors. The fair value calculations have been externally assessed for reasonableness in the current and prior period.

Coronavirus (COVID-19)

For the purposes of considering Going Concern, management have applied a number of key assumptions that relate to the ongoing outbreak of COVID-19 and the associated market uncertainty in Alpha's operational territories. The key assumptions applied for these purposes relate to the potential length of the ongoing lockdown periods and subsequent environment as determined by government bodies globally, and the associated assumptions as to the potential impact of these factors on the Group's going concern considerations.

Notes (continued)

1 Accounting policies (continued)

1.2 Significant judgements and estimates (continued)

Management consider that the impact of uncertainty related to COVID-19 will be most apparent in the following areas of the financial statements.

- Going concern: refer to the 'Going Concern' section below for further detail on the impact of COVID-19.
- Valuation of expected credit loss on financial assets: refer to note 10 for details of consideration given to the valuation of the expected credit loss of receivables in light of the COVID-19 uncertainty.

1.3 Going concern

The financial statements have been prepared on a going concern basis which the Directors consider to be appropriate for the following reasons:

- (a) The Directors have prepared cash flow forecasts for a period of 12 months from the date of approval of these financial statements which indicate that, taking account of reasonably possible downsides including COVID-19 factors, the Company will have sufficient funds to meet its liabilities as they fall due for that period.
- (b) The Directors are confident that the Company will have sufficient funds to continue to meet its liabilities as they fall due for at least 12 months from the date of approval of the financial statements.

Impact of COVID-19

The Directors note that the World Health Organisation declared a pandemic relating to COVID-19 on 11 March 2020, and social distancing measures were introduced in the UK during March 2020. Therefore, the Directors have considered the significance of the economic ramifications of the virus before the end of the Company's financial year and its potential effect on the financial statements for the year ended 31 March 2020. In particular, the Directors have assessed the impact of incorporating additional COVID-19 risk factors in applying downside sensitivities in the going concern assessment over a period of 12 months after the signing of these financial statements. The Directors have also considered the impact of the pandemic on the expected credit loss calculation on the Company's receivables.

Key assumptions considered by management when assessing going concern include adjusting managements best estimate of forecasted performance for factors including the length and extent of current lockdown restrictions, the resulting general business environment, the speed of recovery of trading after lockdown restrictions ease and utilisation of relevant government support schemes. These have been estimated for their respective impacts on the Company's revenues, fixed and variable costs and resultant expected cash flow requirements.

The Company's forecasts and projections, taking into account reasonable estimate of a possible downturn in trading performance arising from the COVID-19 outbreak, show that the Company has sufficient financial resources, both from the Company's robust balance sheet and its expected cash flow generation, sufficient for the going concern period. The Company also has access to additional funding through other Group entities, via the Group's revolving credit facility and the strength of the Group's cash position at 31 March 2020. Accordingly, the Directors have adopted the going concern basis in preparing these financial statements.

1.4 Foreign currency

Transactions in foreign currencies are translated to the Company's functional currencies at the foreign exchange rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are retranslated to the functional currency at the foreign exchange rate ruling at that date. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of the transaction. Non-monetary assets and liabilities denominated in foreign currencies that are stated at fair value are retranslated to the functional currency at foreign exchange rates ruling at the dates the fair value was determined. Foreign exchange differences arising on translation are recognised in the profit and loss.

1.5 Financial instruments

The Company uses financial instruments comprising cash and cash equivalents, preference shares, loan notes and other short-term instruments, such as trade payables that arise from its operations. The main purpose of these financial instruments is to fund the Group's business strategy and working capital requirements.

Accounting policies in respect of financial instruments are outlined below.

Financial assets

Financial assets are initially measured at fair value plus or minus, in the case of a financial asset not at fair value through profit or loss, transaction costs. The Company has not reclassified any financial assets subsequent to initial recognition as at the balance sheet date. Reclassification of classes of financial assets is accounted for prospectively in accordance with IFRS 9, where this is required. Any difference on reclassification from amortised cost to fair value through profit or loss is recognised in the profit and loss at the reclassification date.

Financial assets are assessed at each reporting date to determine a lifetime expected credit loss that reflects the credit risk associated with the portfolio of assets. A financial asset is impaired in line with the simplified approach under IFRS 9 which uses a lifetime expected loss allowance.

Notes (continued)

1 Accounting policies (continued)

1.5 Financial instruments (continued)

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows discounted at the asset's original effective interest rate. For financial instruments measured at cost less impairment, impairment is calculated as the difference between its carrying amount and the best estimate of the amount that the Company would receive for the asset if it were to be sold at the reporting date. Interest on the impairment asset continues to be recognised through the unwinding of the discount. Impairment losses are recognised in profit or loss. When a subsequent event causes the amount of the impairment to decrease, the decrease in impairment loss is reversed through statement of comprehensive income.

Trade and other debtors

Trade and other debtors are recognised initially at fair value and subsequently measured at amortised cost, less provision for impairment. A provision for impairment of trade debtors is established when there is objective evidence that the Company will not be able to collect all amounts due according to the original terms of the receivables. The provision is recognised in the income statement as an operating charge.

The trade debtors' balances recorded in the Company's statement of financial position comprise a relatively small number of large balances and are held until realised in cash.

Alpha provides services to customers on credit terms with mainly arrears billing. Certain receivables may not be paid. The Company applies the IFRS 9 simplified approach to measuring expected credit losses which uses a lifetime expected loss allowance for all trade receivables. To measure expected credit losses, trade debtors have been grouped based on shared credit characteristics and the days past due. The Company consider historical loss rates for each ageing category as a starting point for estimating the expected credit loss. This historical loss rate is subsequently adjusted for macro-economic and customer specific factors of receivables within each ageing category. Characteristics considered by the Company for these purposes include historical collection experience for each customer, the assessed liquidity of key customers within the debtors balance, and other relevant macro-economic factors such as COVID-19 and Brexit in order to determine a reasonable and supportable assessment of the expected lifetime credit risk in the context of the overall year-end trade receivables due.

Amounts owed by Group undertakings

Amounts owed by Group undertakings are recognised initially at fair value and subsequently measured at amortised cost, less provision for impairment. A provision for impairment of intercompany receivables is established using an expected credit loss model. The Group classifies all intercompany receivables that form a part of the normal trading cycle of the Group as current, as well as non-trading balances where the counterparty has sufficient resources to settle the balance within a twelve month period from the balance sheet date. All other amounts owed by Group undertakings are considered as non-current assets. This represents a change in accounting policy in the year. All balances were considered current in the comparative period.

Cash and cash equivalents

Cash and cash equivalents comprise cash balances and call deposits and are recorded and subsequently measured at amortised cost in line with IFRS 9.

Financial liabilities

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. Financial liabilities are classified as held for trading if they are acquired for the purpose of selling in the near term. This category includes derivative financial instruments entered into by the Company that are not designated as hedging instruments in hedge relationships as defined by IFRS 9. As at 31 March 2020, the Company had no such financial liabilities.

Other financial liabilities held by the Group are recognised at amortised cost.

Trade and other creditors

Trade and other creditors are recognised initially at fair value. Subsequent to initial recognition they are measured at amortised cost using the effective interest method.

Amounts owed to Group undertakings

Amounts owed to Group undertakings are recognised initially at fair value and subsequently measured at amortised cost.

Leases

Lease liabilities are recognised on the balance sheet at the present value of minimum lease payments. For further information refer to the 'New Accounting Standards and interpretations' section below on the accounting treatment for leases under IFRS 16 and note 9.

Comparative period numbers relating to leases were not restated and continue to be presented under IAS 17. FY 19 rentals paid under operating leases are charged to the consolidated statement of comprehensive income on a straight-line basis over the period of the lease. Benefits received and receivable as an incentive to sign an operating lease are recognised on a straight-line basis over the period of the lease.

Investments in subsidiaries

Investments in subsidiaries are carried at cost less impairment.

Notes (continued)

1 Accounting policies (continued)

1.5 Financial instruments (continued)

Interest-bearing borrowings

Interest-bearing borrowings are recognised initially at fair value less attributable transaction costs. Subsequent to initial recognition, interest-bearing borrowings are stated at amortised cost using the effective interest method, less any impairment losses.

1.6 Tangible fixed assets

Tangible fixed assets are stated at cost less accumulated depreciation and accumulated impairment losses.

Leases in which the Company assumes substantially all the risks and rewards of ownership of the leased asset are classified as finance leases. Where land and buildings are held under leases the accounting treatment of the land is considered separately from that of the buildings. Leased assets acquired by way of finance lease are stated at an amount equal to the lower of their fair value and the present value of the minimum lease payments at inception of the lease, less accumulated depreciation and less accumulated impairment losses. Lease payments are accounted for as described below.

Depreciation is charged to the profit and loss account on a straight-line basis over the estimated useful lives of each part of an item of tangible fixed assets. Land is not depreciated. The estimated useful lives are as follows:

Computer equipment	3 years straight line
Fixtures, fittings and equipment	4 years straight line
Leasehold improvements	5 years straight line

Depreciation methods, useful lives and residual values are reviewed at each balance sheet date.

1.7 Impairment

Financial assets (excluding trade and other debtors)

A financial asset not carried at fair value through profit or loss is assessed at each reporting date to determine whether there is objective evidence that it is impaired. A financial asset is impaired if objective evidence indicates that a loss event has occurred after the initial recognition of the asset, and that the loss event had a negative effect on the estimated future cash flows of that asset that can be estimated reliably.

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows discounted at the asset's original effective interest rate. For financial instruments measured at cost less impairment an impairment is calculated as the difference between its carrying amount and the best estimate of the amount that the Company would receive for the asset if it were to be sold at the reporting date. Interest on the impaired asset continues to be recognised through the unwinding of the discount. When a subsequent event causes the amount of impairment loss to decrease, the decrease in impairment loss is reversed through profit or loss.

Non-financial assets

The carrying amounts of the entity's non-financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the assets' recoverable amount is estimated. The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value, less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

For the purposes of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates independent cash inflows (the "cash-generating unit"); that is, cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets.

An impairment loss is recognised if the carrying amount of an asset or its CGU exceeds its estimated recoverable amount. Impairment losses are recognised in profit or loss. Impairment losses are allocated between the carrying amounts of other assets in the unit (or group of units) on a pro-rata basis as a reduction in the value of the asset.

An impairment loss is reversed if and only if the reasons for the impairment have ceased to apply.

Impairment losses recognised in prior periods are assessed at each reporting date for any indication that the loss has decreased or no longer exists.

An impairment loss is only reversed to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

1.8 Employee benefits

Defined contribution plans

A defined contribution plan is a post-employment benefit plan under which the Company pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution pension plans are recognised as an expense in the profit and loss account in the periods during which services are rendered by employees.

Notes (continued)

1 Accounting policies (continued)

1.8 Employee benefits (continued)

Share-based payments

The Company's management and employees have access to an equity settled share-based payment arrangement for new employees which forms a part of the wider schemes offered across the Group, which are settled in Alpha Financial Markets Consulting Plc shares. The Company offers two distinct schemes, the 'Management Incentive Plan' (MIP) and the 'Employee Incentive Plan' (EIP). These are described below.

The Management Incentive Plan ("MIP")

The Company has a MIP to retain and incentivise the Directors and senior management.

Options granted in the current and prior years to the Directors and senior management of the Company are subject to the fulfilment of two or more performance conditions determined by the Group's remuneration committee.

MIP awards have either nil exercise price payable (or no more than a nominal purchase price payable) in order to acquire shares pursuant to options. MIP awards have either 3- or 4-year vesting periods from the date of grant and can be equity-settled only.

The Employee Incentive Plan ("EIP")

Under the EIP, a broad base of the Group's employees have been granted share options or share awards over a small number of Alpha Financial Markets Consulting Plc shares. The EIP has been structured as is most appropriate under the local tax, legal and regulatory rules.

Further disclosure of these schemes is provided within the consolidated Alpha Financial Markets Consulting Plc 2020 Annual Report & Accounts, and the share-based payment arrangement concerns equity instruments of the Company's ultimate parent company, Alpha Financial Markets Consulting Plc, and therefore the Directors have applied disclosure exemptions for the subsidiary accounts as permitted under FRS 101.

1.9 Provisions

A provision is recognised in the balance sheet when the Company has a present legal or constructive obligation as a result of a past event, that can be reliably measured and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects risks specific to the liability.

1.10 Revenue recognition

Revenue consists of the value of work executed for clients during the year and expenses recharged, exclusive of VAT. Revenue is classified into net fee income and recharged expenses. Net fee income represents the Company's personnel, subcontractor and related expertise and services sold to clients. Recharged expenses is the recharge of costs incidental to fulfilling contracts including flights, subsistence and accommodation on which nil or negligible margin is earned by the Company.

The Company delivers services that have no alternative use to Alpha (advice to clients, reports, etc) as the services are specifically tailored to clients' projects and scope of work. The significant majority of Alpha's revenue is contracted on a time and materials basis, where the performance obligation is to provide consultancy resources at agreed day rates. In such contracts, revenue is recognised over time, as the number of consultant days worked are delivered. Modifications or extensions to such projects are recognised as delivered. Significant extensions, where the scope or price of the contract increases, are treated as separate contracts. Contracts accounted for on a time and materials basis are billed incrementally, typically monthly, for incurred time and materials.

Revenue recognition for fixed fee projects is based on the actual service provided to the end of the reporting period as a proportion of total services to be provided either over time or in line with internally or externally identified project milestones, depending on the nature of the performance obligations for the project. Material scope changes are managed via a new agreement with the client. Fixed fee projects are typically billed in accordance with the nature of the performance obligations when a right to payment crystallises.

For milestone projects, revenue is recognised at a point in time upon delivery of each performance obligation and these projects are billed as contractual milestones are delivered and the right to payment exists.

Activity performance recognised as revenue in excess of invoices raised are contract assets and are included within accrued income, up to the value of the relevant project delivery milestone, where applicable. On invoicing, the contract asset is reclassified to trade receivables. Where amounts have been invoiced in excess of work performed and recognised, the excess is a contract liability and is included within deferred income and valued in line with the nature of the project and related performance obligations as described above and recognised in future periods.

Revenue is wholly attributable to the principal activities of the Company. For all revenue types, payment is typically due between 30 and 60 days after the invoice date or receipt of invoice, depending on the client.

Notes (continued)

1 Accounting policies (continued)

1.11 Expenses

Operating lease payments

In the comparative period ended 31 March 2019, payments (excluding costs for services and insurance) made under operating leases were recognised in the profit and loss account on a straight-line basis over the term of the lease. Lease incentives received were recognised in the profit and loss account as an integral part of the total lease expense. In the current year IFRS 16 has been adopted on a modified retrospective basis by the Company. Refer to the 'new accounting standards and interpretations' section below for the accounting treatment of leases in the year ended 31 March 2020.

Interest receivable and interest payable

Interest payable and similar expenses include interest payable, finance expense on shares classified as liabilities, unwinding of the discount on provisions, and net foreign exchange losses that are recognised in the profit and loss account (see foreign currency accounting policy). In the comparative period ended 31 March 2019, interest arising from finance leases was recognised in profit or loss using the effective interest method. In the current year the Company adopted IFRS 16 on a modified retrospective basis. Refer to the 'new accounting standards and interpretations' section below for the accounting treatment of leases in the year ended 31 March 2020. Other interest receivable and similar income include interest receivable on funds invested and net foreign exchange gains.

Interest income and interest payable is recognised in profit or loss as it accrues, using the effective interest method.

Dividend expense

Dividend expenses are recognised in the profit and loss account on the date the entity's right to pay the dividend is established.

1.12 Taxation

Tax on the profit or loss for the year comprises current and deferred tax. Tax is recognised in the profit and loss account except to the extent that it relates to items recognised directly in equity or other comprehensive income, in which case it is recognised directly in equity or other comprehensive income.

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustment to tax payable in respect of previous years.

Deferred tax is provided using the balance sheet liability method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities, using tax rates enacted or substantively enacted at the balance sheet date.

The carrying amount of deferred tax assets is reviewed at each balance sheet date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Deferred tax assets and liabilities are offset when there is a legally enforceable right to set off current tax assets against current tax liabilities, and when they relate to income taxes levied by the same taxation authority and the Company intends to settle its current tax assets and liabilities on a net basis.

1.13 New accounting standards and interpretations

The International Accounting Standards Board (IASB) and IFRS Interpretations Committee (IFRIC) have issued the following standards and interpretations which are now effective:

- IFRS 16 Leases (IFRS 16); and
- IFRIC 23 Uncertainty over Income Tax Treatments (IFRIC 23)

The Directors reviewed the nature and effect that these new standards have had on the Company and do not believe that the impact is material. These standards have been adopted by the Company:

IFRS 16 – Leases (effective for periods commencing on or after 1 January 2019)

IFRS 16 Leases is effective for periods beginning on or after 1 January 2019 and is therefore applicable to the current period. This standard replaces accounting treatment for leases previously depicted in IAS 17. IFRS 16 introduced a single lessee accounting model whereby a lessee is required to recognise a right-of-use asset and a lease liability for all leases with a term of more than 12 months. The depreciation on the right-of-use asset will be accounted for separately from the interest expense incurred on the lease liability in the income statement.

Nature of leases within the Company

The Company leases office premises for use in operations. Leases are negotiated on an individual basis, and for a variety of terms over which rentals are fixed with break clauses and options to extend for a further period at the then prevailing market rate. Rental agreements to which IFRS 16 has been applied, spans anywhere from 18 months to 10 years. Contracts may contain both lease and non-lease components. Non-lease components are separately identifiable and excluded from the lease for the purpose of IFRS 16 implementation.

The lease agreements do not impose any covenants other than the security interests in the leased assets that are held by the lessor. Leased assets may not be used as security for borrowing purposes.

Alongside the rental leases associated with the office spaces, the company also hold leases associated with office equipment. These form the population of leases subject to review under IFRS 16.

Notes (continued)

1 Accounting policies (continued)

1.13 New accounting standards and interpretations (continued)

Adoption methodology

The Company has adopted IFRS 16 on a modified retrospective approach for transition and has not restated comparative amounts, which are shown under IAS 17. The Company recognised the cumulative effect of initially applying the new standard as an adjustment to the opening balance of retained earnings at 1 April 2019. Please see note 9 for further details on the impact of the adoption of this new standard.

On initial recognition of a new lease, the lease liability is recognised as the present value of future payments, discounted using the incremental borrowing rate (unless the interest implicit to the lease is available for use). Further, the existing rent free accrual of £0.1m was released through the Company's brought forward retained earnings.

The Company has used the practical expedients permitted by IFRS 16 in relation to accounting for leases with a remaining lease term of less than 12 months as at 1 April 2019 as 'short-term leases', and those with a low value as 'low value leases'. Consequently, no lease liability or right-of-use asset was calculated thereon. These leases are expensed in the statement of profit and loss. The Company has also used the practical expedient permitted by IFRS 16 to apply a single discount rate to a portfolio of leases with reasonably similar characteristics.

Measurement of lease liabilities

On initial recognition of a new lease, the lease liability is recognised as the present value of future payments, discounted using the incremental borrowing rate (unless the interest implicit to the lease is available for use).

Lease payments to be made subsequent to optional termination options have been included within the lease liability measurement, where it is reasonably certain that such options will be exercised.

Lease payments are discounted using the interest rate implicit in the lease. If that rate cannot be easily determined, the incremental borrowing rate is applied, being the rate that the individual lessee would have to pay to borrow the funds necessary to obtain an asset of similar value to the right-of-use asset in a similar economic environment with similar terms, security and conditions.

The Company accounts for lease payments by allocating them to a finance cost element and against the lease liability. The finance cost is charged to profit or loss over the lease period.

When the Company revises its estimate of the term of any lease (because, for example, it re-assesses the probability of a lessee extension or termination option being exercised), it adjusts the carrying amount of the lease liability to reflect the payments to make over the revised term, which are discounted using a revised discount rate. In such cases, an equivalent adjustment is made to the carrying value of the right-of-use asset, with the revised carrying amount being amortised over the remaining (revised) lease term. If the carrying amount of the right-of-use asset is adjusted to zero, any further reduction is recognised in profit or loss.

In determining the incremental borrowing rate, the Company has:

- Adopted the rate implicit in the lease, where this rate can be readily determined, or used the Incremental Borrowing Rates ("IBR") as assessed for each lease.
- Made adjustments to the IBR for relevant factors such as lease term, lease value, country and asset specific considerations

The Company has no material exposure to variable lease payments that qualify for accounting treatment under IFRS 16.

Measurement of right-of-use assets

The right-of-use asset for lease agreements entered into after transition date is measured on initial recognition as the amount equal to the lease liability on initial measurement, less any lease incentives, plus any initial direct costs. Right-of-use assets are depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis.

Initial adoption of the standard has resulted in the recognition as at 1 April 2019 of right-of-use assets of £1.2m and lease liabilities of £1.2m. Refer to note 9 for further detail.

The weighted average incremental borrowing rate applied to the lease liabilities on 1 April 2019 was 4.75%.

The discounted remaining lease payments are reconciled to the lease liability recognised on initial application as follows:

	1 April 2019 £'000
Operating lease commitments disclosed as at 31 March 2019	1,434
Discounted using the average incremental borrowing rate	(167)
Less: short-term leases recognised as an expense on a straight-line basis	(72)
Other (UK printing lease not included in commitments March 2019)	11
Lease liability recognised as at 1 April 2019	1,206

Notes (continued)

1 Accounting policies (continued)

1.13 New accounting standards and interpretations (continued)

	1 April 2019 £'000
Of which are:	
Current lease liabilities	212
Non-current lease liabilities	994
	<u>1,206</u>

The change in accounting policy affected the following items in the balance sheet on 1 April 2019:

Right-of-use assets	Increase by	1,206
Lease liabilities	Increase by	1,206
Deferred tax assets	Increase/decrease	3

IFRIC 23 – Uncertainty Over Income Tax Treatments (effective for periods commencing on or after 1 January 2019)

The IFRIC 23 'Uncertainty Over Income Tax Treatments' interpretation is effective for accounting periods beginning on or after 1 January 2019 and provides further clarification on how to apply the recognition and measurement requirements in IAS 12 'Income Taxes'.

IFRIC 23 has not had a material impact on the financial statements for the year ended 31 March 2020.

There are no accounting standards that are not yet effective that would be expected to have a material impact on the Company in the current or next reporting periods.

2 Turnover

	FY 20 £000	FY 19 £000
Rendering of services	46,190	49,662
Rechargeable expenses	841	796
	<u>47,031</u>	<u>50,458</u>
	FY 20 £000	FY 19 £000
By activity		
Management consulting	47,031	50,458

3 Auditor's remuneration

	FY 20 £000	FY 19 £000
Audit of these financial statements	64	40

Amounts receivable by the Company's auditor and its associates in respect of services to the Company and its associates, other than the audit of the Company's financial statements, have not been disclosed as the information is required instead to be disclosed on a consolidated basis in the consolidated financial statements of the Company's parent, Alpha Financial Markets Consulting Plc.

4 Staff numbers and costs

The average number of persons employed by the Company (including Directors) during the year, analysed by category, was as follows:

	Number of employees	
	FY 20	FY 19
Administrative	9	7
Sales	153	143
	<u>162</u>	<u>150</u>

Notes (continued)

4 Staff numbers and costs (continued).

The aggregate payroll costs of these persons were as follows:

	FY 20	FY 19
	£000	£000
Wages and salaries	17,591	16,660
Social security costs	1,726	1,646
Contributions to defined contribution plans	596	366
	<u>19,913</u>	<u>18,672</u>

At the year end, 3,142,421 share options over the equity in Alpha Financial Markets Consulting Plc, the parent company, remained outstanding to the Company's management and employees, and no share options vested in the year. The Company has incurred a charge to the profit & loss account in FY 20 of £641,433 (FY 19: £181,000) relating to these schemes.

5 Directors' remuneration

	FY 20	FY 19
	£000	£000
Directors' remuneration	5,455	4,560
Company contributions to money purchase pension plan	-	-
	<u>-</u>	<u>-</u>
	<u>5,455</u>	<u>4,560</u>

	Number of Directors	
	FY 20	FY 19
Retirement benefits are accruing to the following number of Directors under:		
Money purchase schemes	18	-
	<u>18</u>	<u>-</u>

The aggregate of remuneration and amounts receivable under Company long term incentive schemes of the highest paid director was £439,635 (FY 19: £399,000)

Amounts paid or payable to the Company's Directors through the Company's parent undertakings have been excluded from the above disclosure and included within the disclosures of other Group companies, on the basis that their services are predominantly provided to the wider Group.

6 Other interest payable and similar expense

	FY 20	FY 19
	£000	£000
Interest payable	54	25
	<u>54</u>	<u>25</u>

7 Taxation

Recognised in the profit and loss account

	FY 20		FY 19	
	£000	£000	£000	£000
<i>Current tax</i>				
Current tax on income for the period		2,253		2,432
Adjustments in respect of prior periods		(293)		(273)
		<u>1,960</u>		<u>2,159</u>
<i>Deferred tax (see note 13)</i>				
Origination and reversal of timing differences	8		(6)	
Effect of tax rate change on opening balances	4		-	
Adjustments in respect of prior periods	21		20	
		<u>33</u>		<u>14</u>
		<u>1,993</u>		<u>2,173</u>

Notes (continued)

7 Taxation (continued)

Reconciliation of effective tax rate

	FY 20 £000	FY 19 £000
Profit for the year	9,695	11,915
Total tax expense	1,993	2,173
Profit excluding taxation	11,688	14,088
Tax using the UK corporation tax rate of 19% (FY 19: 19%)	2,221	2,677
Reduction in tax rate on deferred tax balances	5	20
Non-deductible expenses	40	75
Fixed asset differences	-	3
Group relief claimed	-	(329)
Under / (over) provided in prior years	(273)	(273)
Total tax expense	1,993	2,173

8 Tangible fixed assets

	Leasehold improvements £000	Computer equipment £000	Fixtures, fittings and equipment £000	Total £000
Cost				
Balance at 1 April 2019	202	658	117	977
Additions	93	108	12	213
Disposals	-	(50)	-	(50)
	295	716	129	1,140
Depreciation and impairment				
Balance at 1 April 2019	(182)	(472)	(101)	(755)
Depreciation charge for the year	(26)	(104)	(9)	(139)
Disposals	-	20	-	20
	(208)	(556)	(110)	(874)
Net book value				
At 31 March 2020	87	160	19	266
At April 2019	20	186	16	222

Notes (continued)

9 Leases

As set out in note 1, the Company has adopted IFRS 16 Leases during the year using the Modified Retrospective approach. This new accounting standard replaces accounting treatment for leases previously depicted in IAS 17. IFRS 16 introduced a single lessee accounting model whereby a lessee is required to recognise a right-of-use asset and a lease liability for all leases with a term of more than 12 months.

(i) Amounts recognised in the statement of financial position

The balance sheet shows the following amounts relating to leases:

Right-of-use assets	Buildings £000	Equipment under lease £000	Total £000
<i>Cost</i>			
At 1 April 2019	1,195	11	1,206
Additions	-	-	-
Disposals and other movements	-	-	-
At 31 March 2020	1,195	11	1,206
<i>Depreciation</i>			
At 1 April 2019	-	-	-
Charge for the period	(229)	(5)	(234)
Disposals	-	-	-
At 31 March 2020	(229)	(5)	(234)
Net book value at 31 March 2020	966	6	972

A summary of the Company's lease liabilities as at 31 March 2020 is presented below:

	FY 20 £000	FY 19 £000
Lease liabilities		
Current	221	-
Non-Current	772	-
	993	-

(ii) Amounts recognised in the income statement

The income statement shows the following amounts relating to leases:

	FY 20 £000	FY 19 £000
Depreciation charge of right-of-use assets		
Buildings	229	-
Equipment	4	-
	233	-
Interest expense	54	-
Expense relating to short-term leases (included in administrative expenses)	33	-

Variable service charge costs associated with the Company's property leases represent future outflows relating to the lease arrangements are also not included within the IFRS 16 lease liability. These currently amount to £0.1m per annum and are expensed as incurred.

The Group has no income associated with sub-leasing arrangements, or gains/losses associated with sale-and-leaseback transactions in the current year.

Detailed accounting policies related to the implementation of IFRS 16 are set out in note 1.

In order to aid comparability between periods, the table below shows the income statement captions to 31 March 2020 as if IFRS 16 had not been adopted:

Notes (continued)

9 Leases (continued)

	FY 20 under IAS 17 £'000	IFRS 16 adjustments £'000	FY 20 under IFRS 16 £'000
Continuing operations			
Revenue	47,031	-	47,031
Rechargeable expenses	(841)	-	(841)
Net fee income	46,190	-	46,190
Cost of sales	(26,034)	-	(26,034)
Gross profit	20,156	-	20,156
Administrative expenses	(8,447)	33	(8,414)
Operating profit	11,709	33	11,742
Net finance expenses	-	(54)	(54)
Profit before tax	11,709	(21)	11,688

10 Debtors

	FY 20 £000	FY 19 £000
Trade debtors	7,321	9,702
Amounts owed by Group undertakings	29,847	23,333
Other debtors	49	134
Prepayments and accrued income	813	1,740
	38,030	34,909

Amounts owed by Group undertakings are interest free and are repayable on demand.

Trade debtors are stated after provisions for impairment of £157,603 (FY 19: £206,839)

The Directors are satisfied that all outstanding amounts from subsidiary group undertakings are recoverable. Expected credit loss in relation to amounts owed by Group undertakings was immaterial in both the current and prior year.

Contract assets are recognised in accrued income and relate to satisfied performance obligations recognised and not invoiced at the year end. All such contract assets are expected to be realised within one year and classified within current assets. Contract assets are recorded on a time spent basis and as performance obligations are met on agreed fees and day rates, billed in arrears. These are typically short-term timing differences which are administrative in nature at each year end date. Contract asset payments are due on standard terms once the invoices are raised. The contract assets movement in the year represents these timing differences across contracts at each year end. The following table sets out a reconciliation of the movement in contract assets in the current and prior years.

	FY 20 £000	FY 19 £000
Contract assets relating to contracts with customers 1 April 2019	1,199	1,786
Increase in contract assets in the period	501	1,199
Contract assets released	(1,199)	(1,786)
Balance as at 31 March 2020	501	1,199

Notes (continued)

11 Creditors: amounts falling due within one year

	FY 20 £000	FY 19 £000
Trade creditors	679	778
Amounts owed to Group undertakings	19,678	17,659
Taxation and social security	2,080	2,606
Accruals and deferred income	5,658	6,305
	28,095	27,348

Amounts owed to Group undertakings are either interest-bearing or non interest-bearing depending on the type of the creditor relationship and are repayable on demand.

Deferred income recognises contract liabilities arising from the Company's revenue generating activities relating to payments received in advance of performance delivered under a contract. These contract liabilities typically arise on short-term timing differences between performance obligations in some milestone or fixed fee contracts and their respective contracted payment schedules. The contract liability movement in the year represents these timing differences across contracts at each year end. The following table sets out the revenue recognised in the current year that relates to carry forward contract liabilities and the liabilities recognised in the current year which have been deferred to the next reporting period. All current deferred income is expected to be recognised through revenue within one year.

	FY 20 £000	FY 19 £000
Contract liabilities relating to contracts with customers at start of period	220	441
Increase in contract liabilities in the period	94	220
Contract liabilities released	(220)	(441)
	94	220
Balance as at 31 March 2020	94	220

Revenue arising from unperformed performance obligations are not material to the Company

12 Other non-current liabilities

	2020 £000	2019 £000
Other non-current liabilities	93	-
	93	-

13 Deferred tax assets and liabilities

Recognised deferred tax assets and liabilities

Deferred tax assets and liabilities are attributable to the following:

	Assets		Liabilities		Net	
	FY 20 £000	FY 19 £000	FY 20 £000	FY 19 £000	FY 20 £000	FY 19 £000
Tangible fixed assets	-	-	50	34	50	34
Other	-	(17)	-	-	-	(17)
Net tax (assets) / liabilities	-	(17)	50	34	50	17

In addition to the deferred tax asset above, the Company has no unrecognised gross tax losses (FY 19: £nil). The UK corporation tax rate legislation announced is set to hold the corporation tax rate at 19% for the 2019/20 and 2020/21 tax years. This rate has been reflected in the calculation of deferred tax for the year ended 31 March 2020.

Notes (continued)

14 Capital and reserves

Share capital

	FY 20 £000	FY 19 £000
<i>Allotted, called up and fully paid</i>		
275,000 ordinary shares of £1 each	275	275
	<u>275</u>	<u>275</u>
Shares classified in shareholders' funds	275	275
	<u>275</u>	<u>275</u>

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

Dividends

An interim ordinary dividend payment totalling £10,000,000 was made to its sole shareholder Alpha Financial Markets Consulting Group Limited (FY 19: £18,265,000), to facilitate the payment of the Group dividend made by the Company's ultimate parent, Alpha Financial Markets Consulting Plc, to its shareholders. The Directors have not recommended the payment of a final dividend (FY 19: £nil).

15 Related parties

Identity of related parties with which the Company has transacted

The Company has not engaged in any transactions with any related parties other than with wholly owned subsidiaries. These transactions have not been disclosed as the Company has taken advantage of exemptions under FRS101.

16 Events after the reporting period

The Directors consider that the outbreak of COVID-19 globally represents an adjusting event at the balance sheet date on the basis that the significance of the social and economic impact was apparent at that date. The Group has therefore considered all conditions up to the date of issuance of the financial statements as adjusting events. As disclosed in note 1, the impact of COVID-19 has been assessed in relation to: impairment of non-financial assets, going concern (note 1), and expected credit loss.

Renewal of the Group's revolving credit facility

The Group has one principal bank facility, which as at 31 March 2020, comprised a £5.0m committed revolving credit facility ("RCF") with Lloyds Bank Plc, which was signed in October 2017, on AIM admission, expiring in October 2020. Alpha Financial Markets Consulting UK Limited are a cross guarantor for this facility which has been drawn to the extent of £5.0m in March 2020.

Subsequent to the year end, in June 2020, the Group signed an extension and upscaled its RCF with Lloyds Bank Plc to provide further funding flexibility. Further disclosure is provided in the Annual Report and Accounts of the Company's ultimate parent, Alpha Financial Markets Consulting Plc. The Group subsequently repaid the drawn amount of £5.0m in full in September 2020.

17 Ultimate parent company and parent company of larger Group

The Company is a subsidiary undertaking of Alpha Financial Markets Consulting Plc, incorporated in England and Wales. The ultimate controlling party is Alpha Financial Markets Consulting Plc.

Both the largest and smallest Group in which the results of the Company are consolidated is that headed by Alpha Financial Markets Consulting Plc, incorporated in England and Wales. The consolidated financial statements of the Group are available to the public and may be obtained from 60 Gresham Street, London, EC2V 7BB, or the website investors.alphafmc.com.